

August 9, 2026 11:14 PM GMT

Investor Presentation | Asia Pacific

# External Demand and Policy Outlook

Related report:

[Revising Up China's Export Growth: Stronger Price Premium](#)

MORGAN STANLEY ASIA LIMITED+

**Robin Xing**

Chief China Economist

[Robin.Xing@morganstanley.com](mailto:Robin.Xing@morganstanley.com)

+852 2848-6511

**Zhipeng Cai**

Economist

[Zhipeng.Cai@morganstanley.com](mailto:Zhipeng.Cai@morganstanley.com)

+852 2239-7820

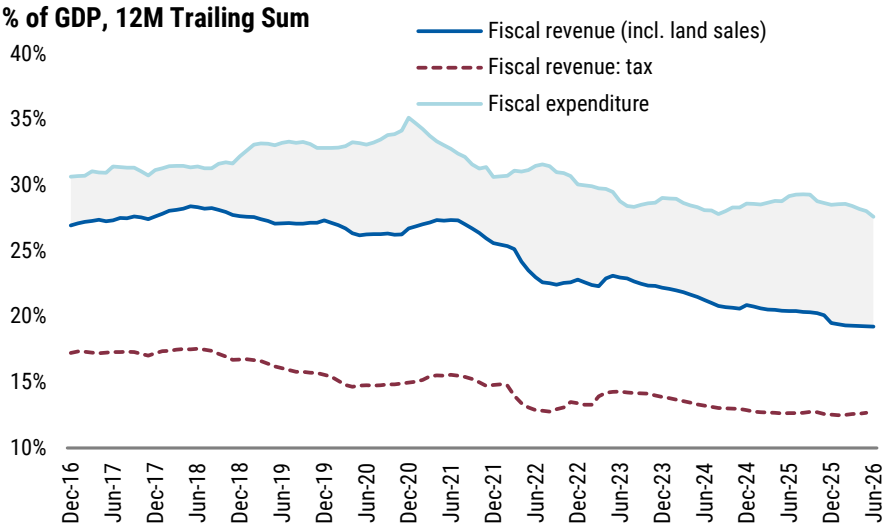


For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

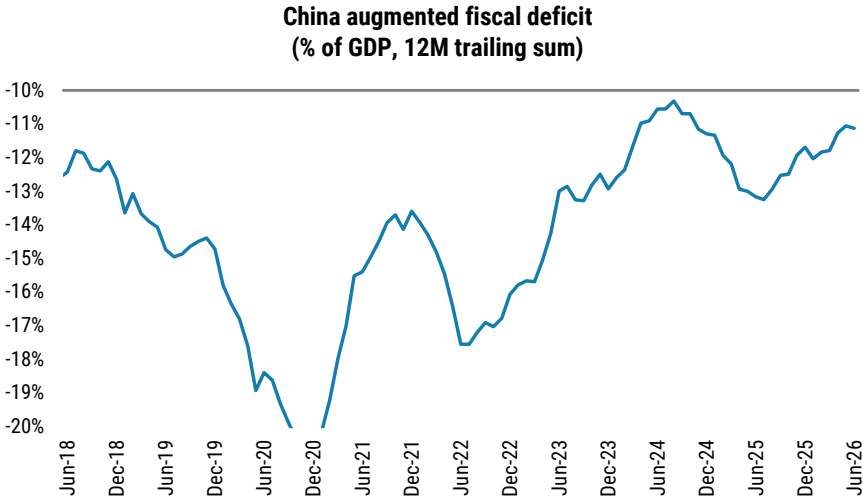
Government Finance

Augmented Fiscal Revenue Still Under Pressure

Declining fiscal revenue



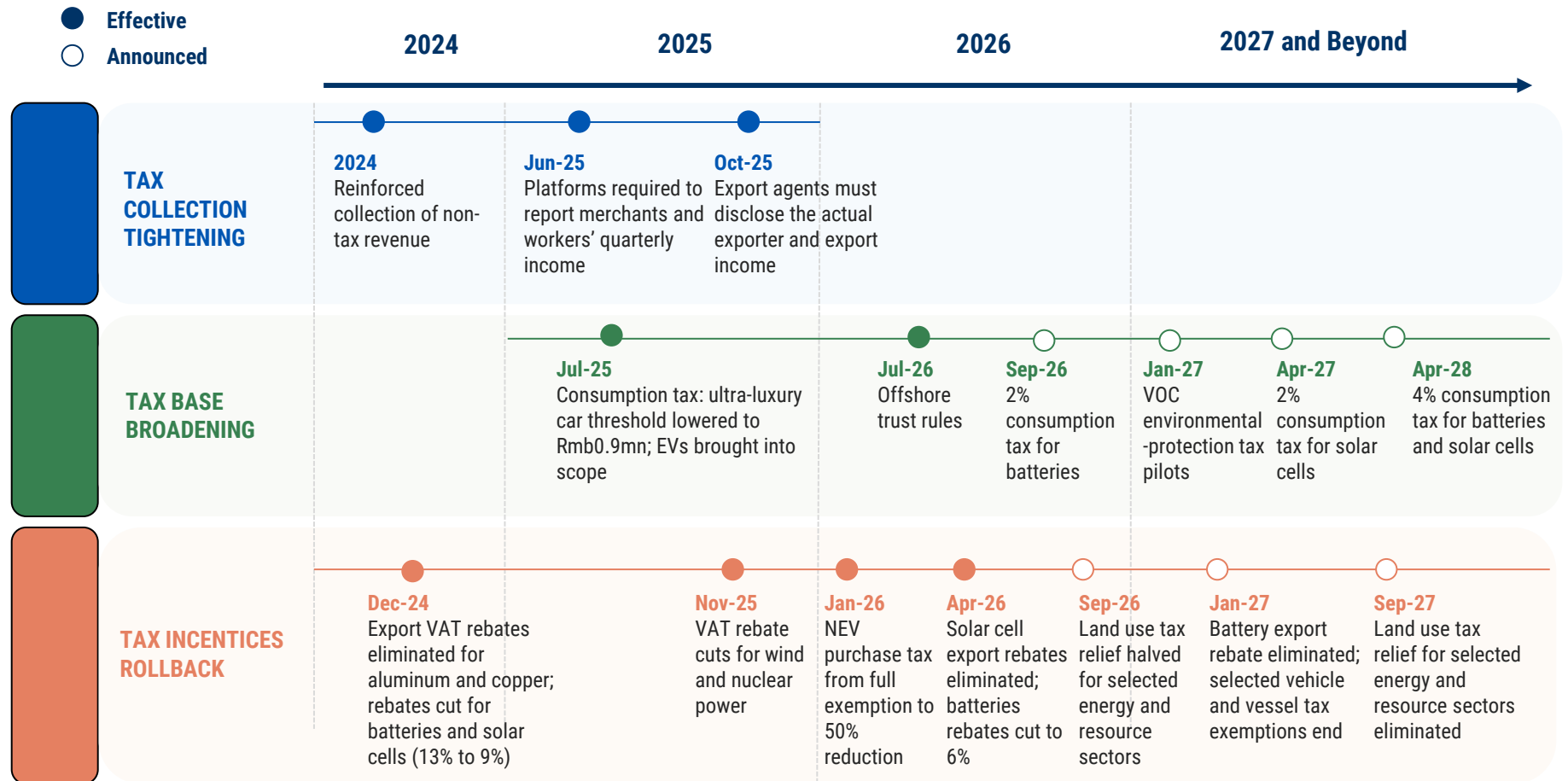
Narrowing augmented fiscal deficit



Source: CEIC, Morgan Stanley Research

## Government Finance

## Tax Enforcement: Closing Loopholes, Narrowing Tax Incentives for Selective Sectors

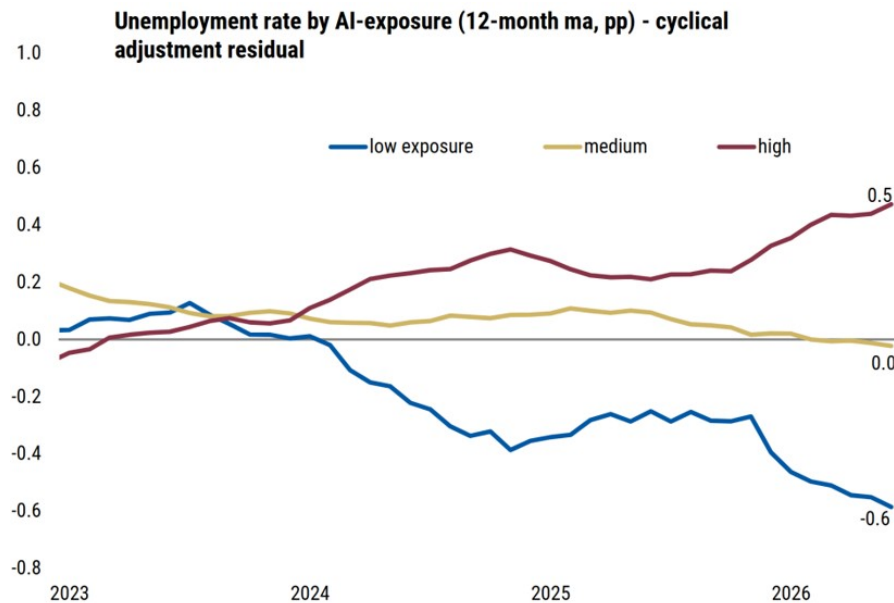


Source: Morgan Stanley Research

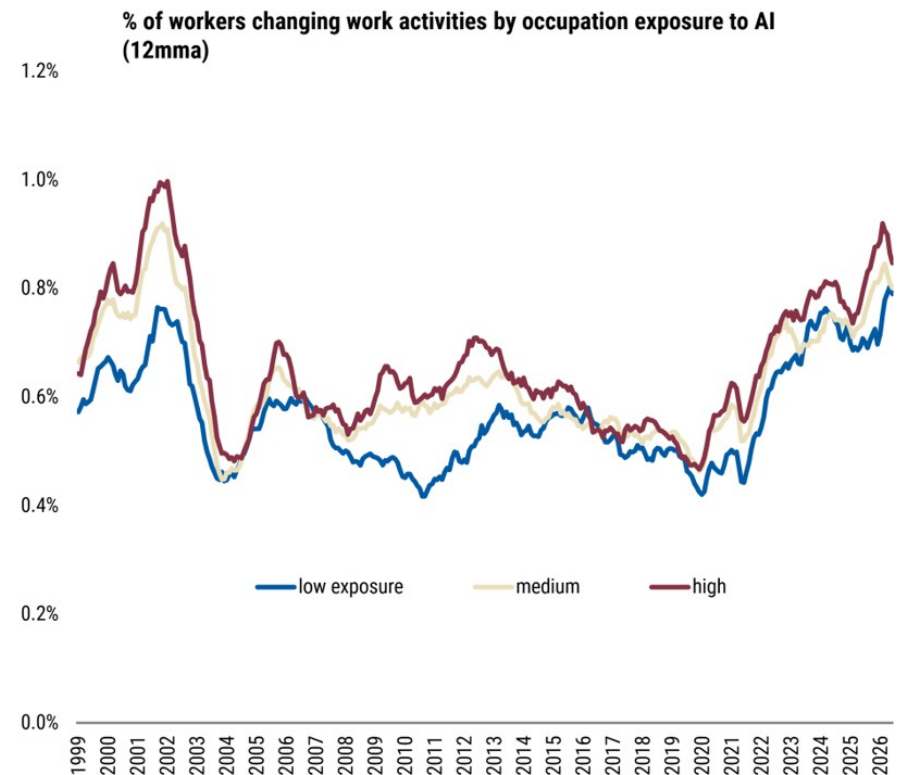
## AI Impact on Labor Market

## AI Labor Disruption: Still Modest, but Increasingly Visible

AI-related labor market disruption is becoming harder to ignore at the occupation level



Task reallocation is occurring more rapidly in occupations with greater AI exposure



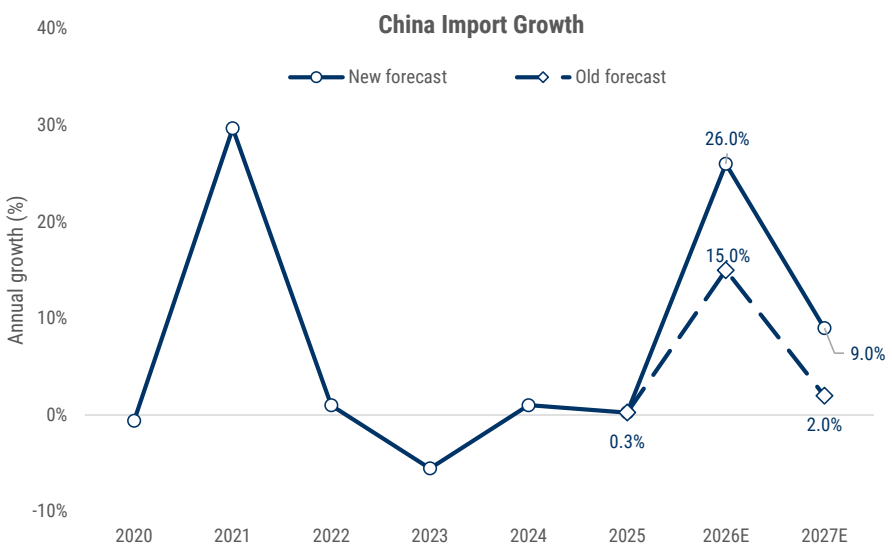
Source: IPUMS CPS (University of Minnesota), Morgan Stanley Research. For more details, kindly see [AI Labor Disruption: Still Modest, but Increasingly Visible \(3 Aug 2026\)](#)

China Economy

Revising Up Trade Forecast for 2026/27...

We now expect export growth of 20% in 2026 (vs. 10% before)...

...and import growth of 26% (vs. 15% before)



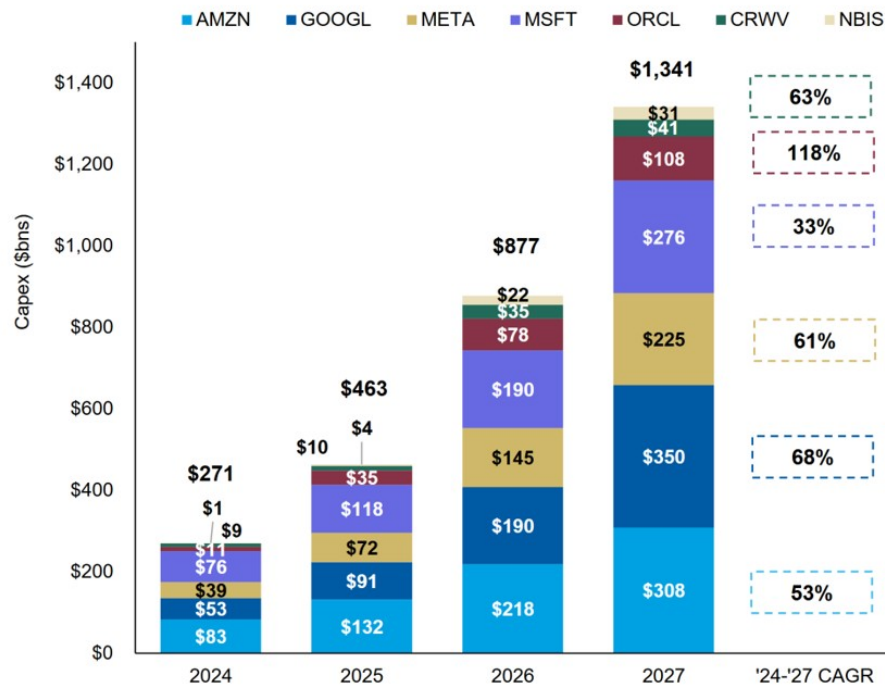
Source: CEIC, Morgan Stanley Research estimates

## China Economy

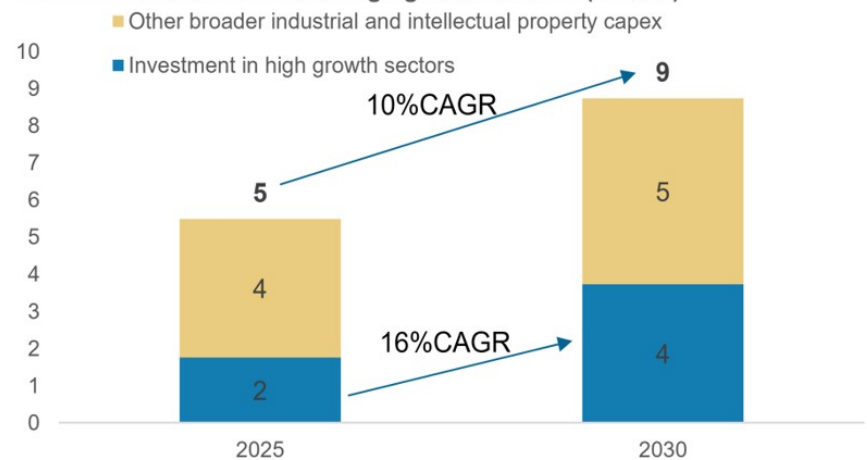
## ...on Sustained AI-related Demand and Broader Asia Capex Cycle

AI-related investment should remain the durable support to China's exports

The broader Asia capex cycle would support a modest broadening of export strength into other capital goods



## Asia nominal investment in high growth sectors (US\$trn)

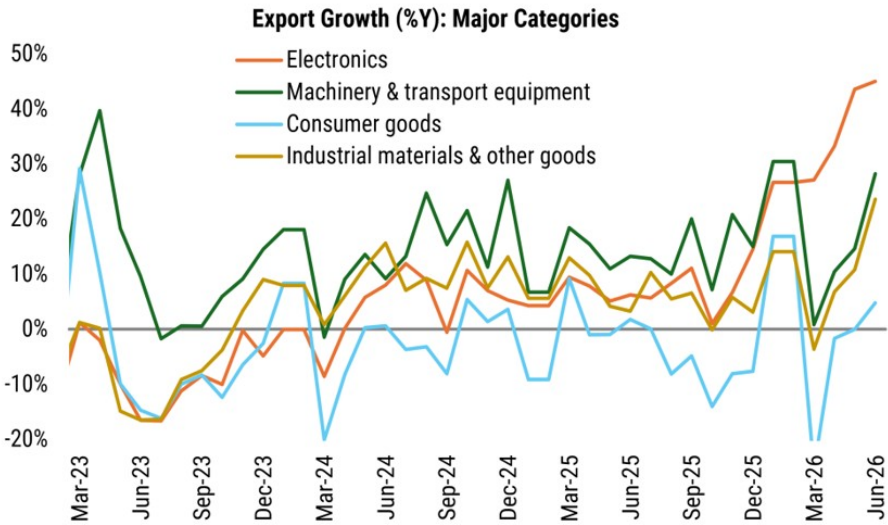


Source: CEIC, Morgan Stanley Research estimates. For more details on the LHS chart, kindly see [Power Struggle: AI, Data Centers & Local Backlash \(14 Jul 2026\)](#). For RHS chart, kindly see [Headed Towards an Industrial Super-Cycle \(27 Apr 2026\)](#).

China Economy

# 1H26 in Retrospect

Investment-led exports...



...with prices driving the nominal headline growth in 1H26



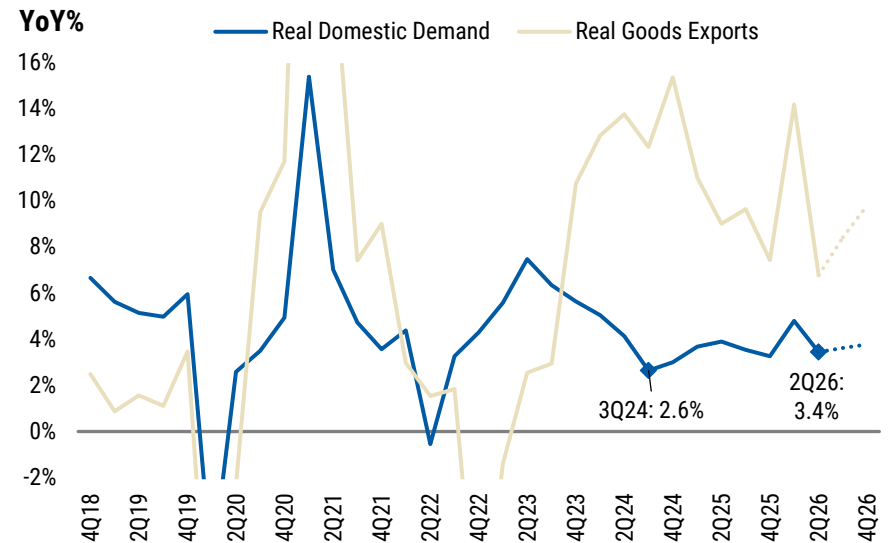
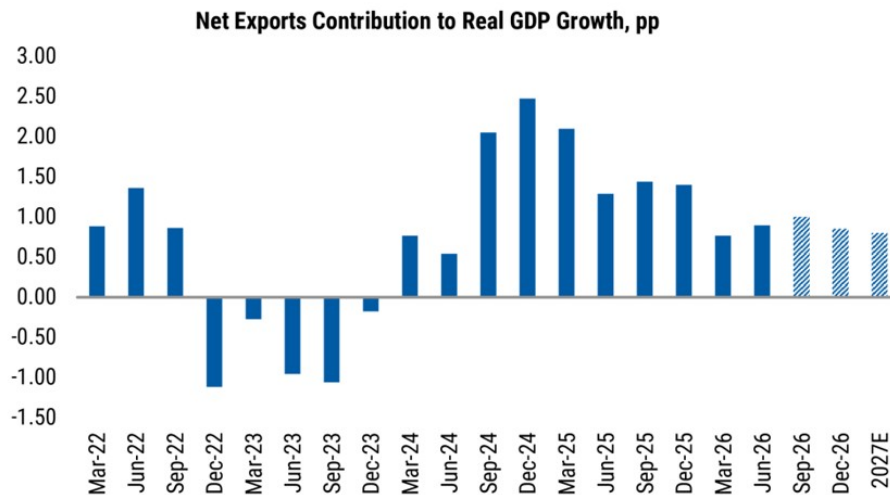
Source: CEIC, Morgan Stanley Research

## China Economy

## Growth Implications: Modest Net Contribution, But More Supportive Spillovers

Net export contribution to move largely sideways from here

Trade resilience should drive a modest reacceleration in 2H growth, but would not alter the K-shaped recovery



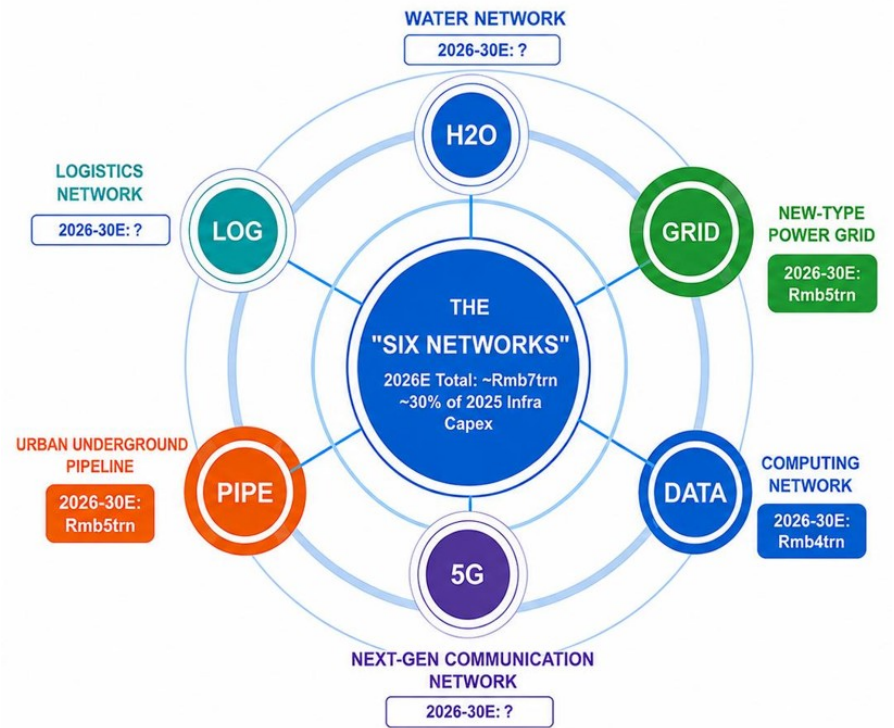
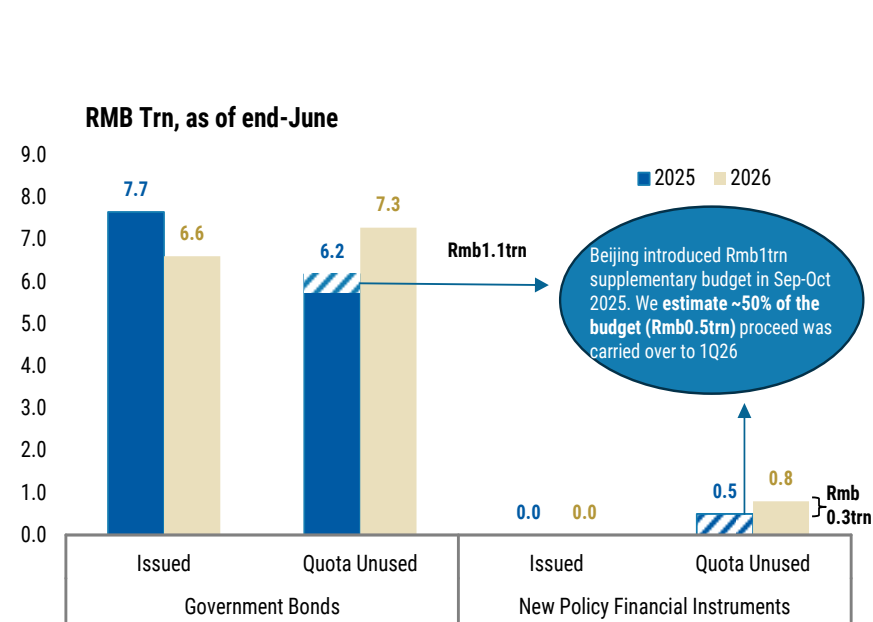
Source: CEIC, Morgan Stanley Research estimates

China Economy

Export Resilience Lowers Urgency for New Stimulus Package

Policymakers would first lean on the roughly Rmb2trn of potential augmented fiscal impulse for 2H26...

...with a focus on “Six Networks”, particularly hard tech and energy-transition capex



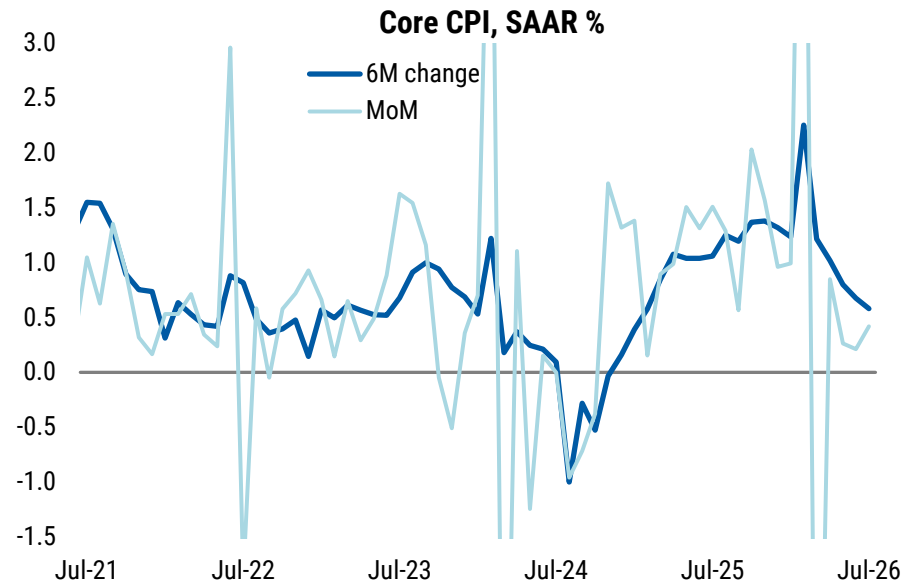
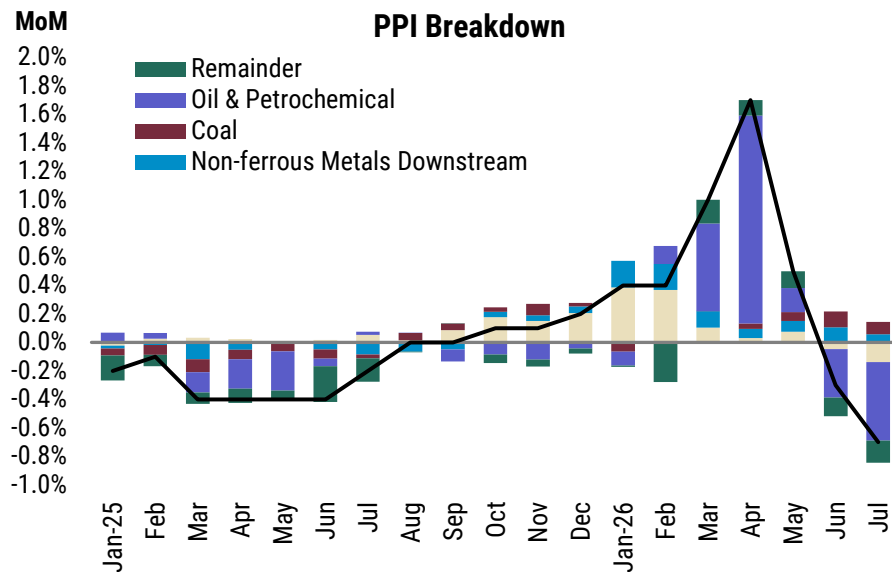
Source: CEIC, Morgan Stanley Research estimates

## China Economy

## Inflation: Oil Fades, Demand Weakness Persists

**PPI fell 0.7%MoM, reflecting a reversal in the oil shock and continued weakness in downstream pricing**

**Core CPI remained subdued in May-July, averaging 0.3%M SAAR**



Source: CEIC, Morgan Stanley Research

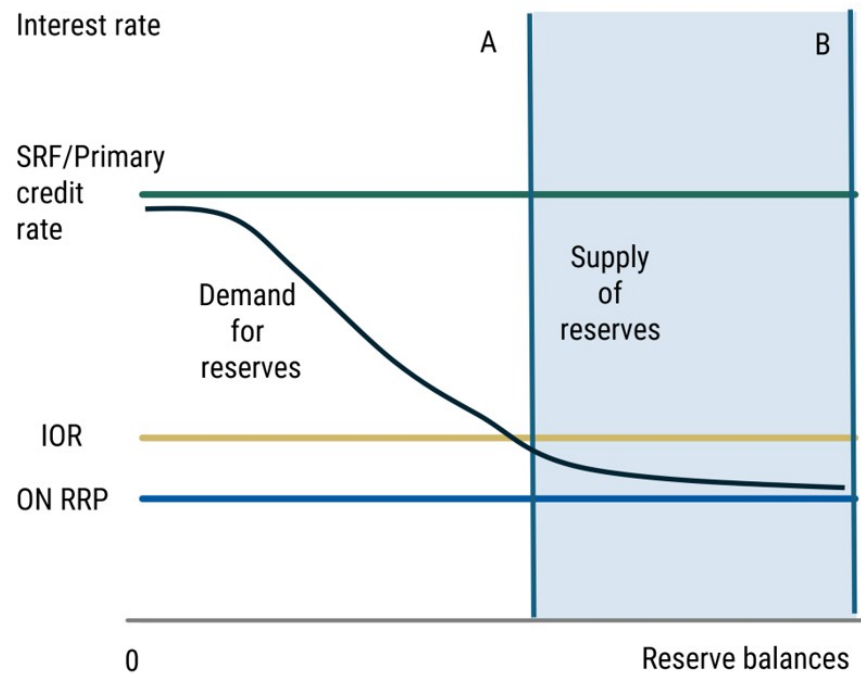
## Fed Policy

## Fed Balance Sheet Reform: More Shrinkage...

We expect the Fed to retain ample reserves

Fed can preserve this framework while reducing both reserve demand and reserve supply

## The Fed's ample reserves framework



When reserves are ample, control of the federal funds rates is done primarily through administered rates, not changes in reserves

As of June 24, 2026 (US\$ billions)

| Assets              |              |            | Liabilities & Capital                |              |            |
|---------------------|--------------|------------|--------------------------------------|--------------|------------|
| <b>Securities</b>   | <b>6,452</b> | <b>95%</b> | <b>Reserves</b>                      | <b>2,954</b> | <b>44%</b> |
| UST                 | 4,488        | 70%        | <b>ON RRP</b>                        | <b>4.5</b>   | <b>0%</b>  |
| MBS                 | 1,962        | 30%        | <b>FIMA RRP</b>                      | <b>332</b>   | <b>5%</b>  |
| Agency Debt         | 2            | 0%         |                                      |              |            |
| <b>Repo</b>         | <b>4.0</b>   | <b>0%</b>  | <b>Treasury General Account</b>      | <b>902</b>   | <b>13%</b> |
| FIMA Repo           | 0.0          | 0%         |                                      |              |            |
| Others              | 4.0          | 100%       | <b>Currency in Circulation</b>       | <b>2,473</b> | <b>36%</b> |
| <b>Loans</b>        | <b>7.9</b>   | <b>0%</b>  |                                      |              |            |
| DW                  | 7.9          | 99%        | <b>Currency in Circulation</b>       | <b>2,473</b> | <b>36%</b> |
| BTFFP               | 0.0          | 0%         |                                      |              |            |
| Other               | 0.1          | 1%         |                                      |              |            |
| <b>Other Assets</b> | <b>323</b>   | <b>5%</b>  | <b>Other Liabilities and Capital</b> | <b>121</b>   | <b>2%</b>  |
| <b>Total</b>        | <b>6,787</b> |            | <b>Total</b>                         | <b>6,787</b> |            |

How to reduce banks' demand for reserves:

1. **Tiered interest** on reserve balances
2. Changes to **bank liquidity rules**

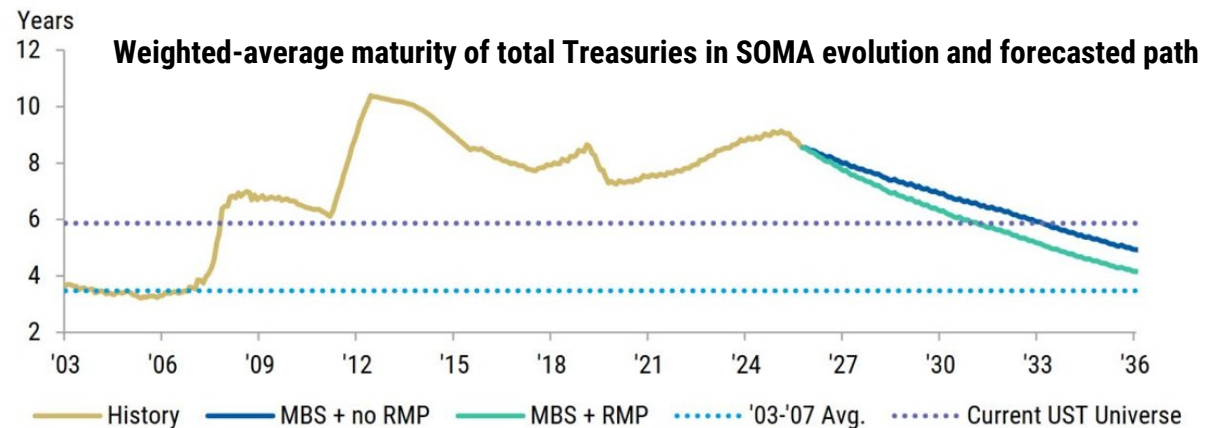
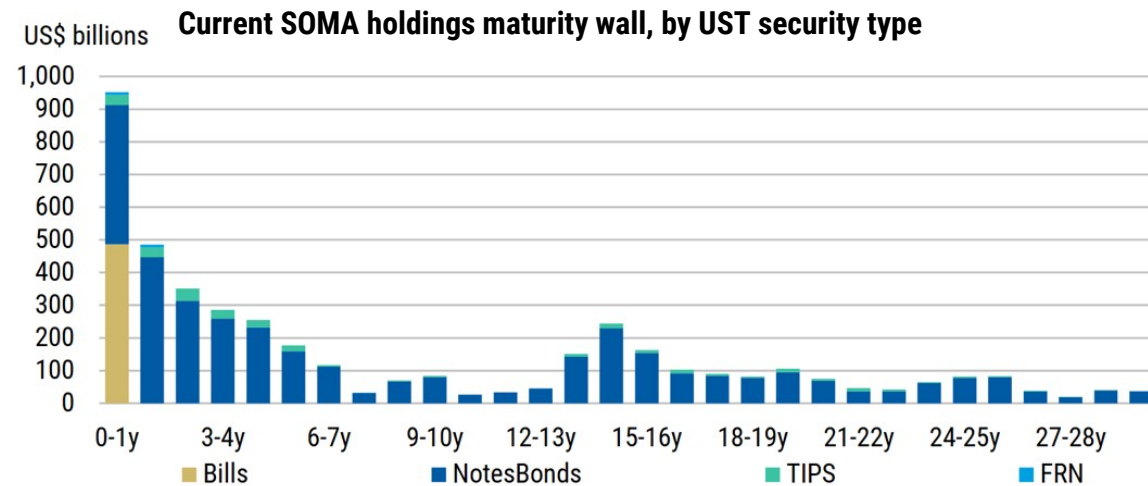
Source: Federal Reserve, Morgan Stanley Research. For more details, kindly see [Fed Balance Sheet Reform: More Shrinkage, Less Tightening \(6 Aug 2026\)](#)

## Fed Policy

## ...Less Tightening

Passive runoff should deliver most of the reduction, limiting the need for sales

A smaller Treasury cash balance and bill-funded runoff add little duration risk for private investors



**Source:** US Treasury, Federal Reserve, Morgan Stanley Research estimates. For more details, kindly see [Fed Balance Sheet Reform: More Shrinkage, Less Tightening \(6 Aug 2026\)](#)

## Disclosure Section

Information and opinions in Morgan Stanley Research were prepared or are disseminated by one or more of the following, which accept responsibility for its contents: Morgan Stanley Asia Limited, and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105), Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts;

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at [www.morganstanley.com/eqr/disclosures/webapp/generalresearch](http://www.morganstanley.com/eqr/disclosures/webapp/generalresearch), or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1800 303-2495; Hong Kong +852 2848-5999; Latin America +1718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

## Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at [www.morganstanley.com/institutional/research/conflictolicies](http://www.morganstanley.com/institutional/research/conflictolicies). A Portuguese version of the policy can be found at [www.morganstanley.com.br](http://www.morganstanley.com.br)

## Important Disclosures

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa

de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the United States by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.